



Financial Services



Partners in Change

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*This session will provide insights into **aligning business capabilities and business contextual dimensions to processes** in order to **enable value stream mapping, process improvement initiatives (LEAN)** and capability driven planning. We will address applying an **industry standard process framework and enterprise capability model** to provide unique cross-functional insights into what the business does and how they do it.*

Business Questions + Broad Understanding = Business Architecture Value-add



What is my business model? What is my value chain? How do my customers, products and channels reflected in my customer facing and operational processes, information and technology architectures? Where the glaring gaps?

Do my capabilities meet customer expectations? How well do they stack up against the competition?

Where do I need to invest to remain competitive? To realize my strategic objectives and financial goals. What really moves the needle? What are the right needles (KPIs)

How do my project investments align with KPIs and support the business case?

How can I get strategic information out of the heads of a few and in the hands of the many? How can I make sure the strategies are clearly articulated and supported?



Is my portfolio of investments (projects) strategically aligned with my most strategic products and for my target customers?

What enabling capabilities can be leveraged to support a new line of business?

What should be built as a shared service vs. a silo'd solution? What is the expected life of the product, service / capability?

How far should we go? How can we avoid overbuilding in one area and under building in another?

How can we bring more clarity and stability to our business plans to help IT make the right moves? How can we avoid surprises that lead to rework or silo'd solutions?

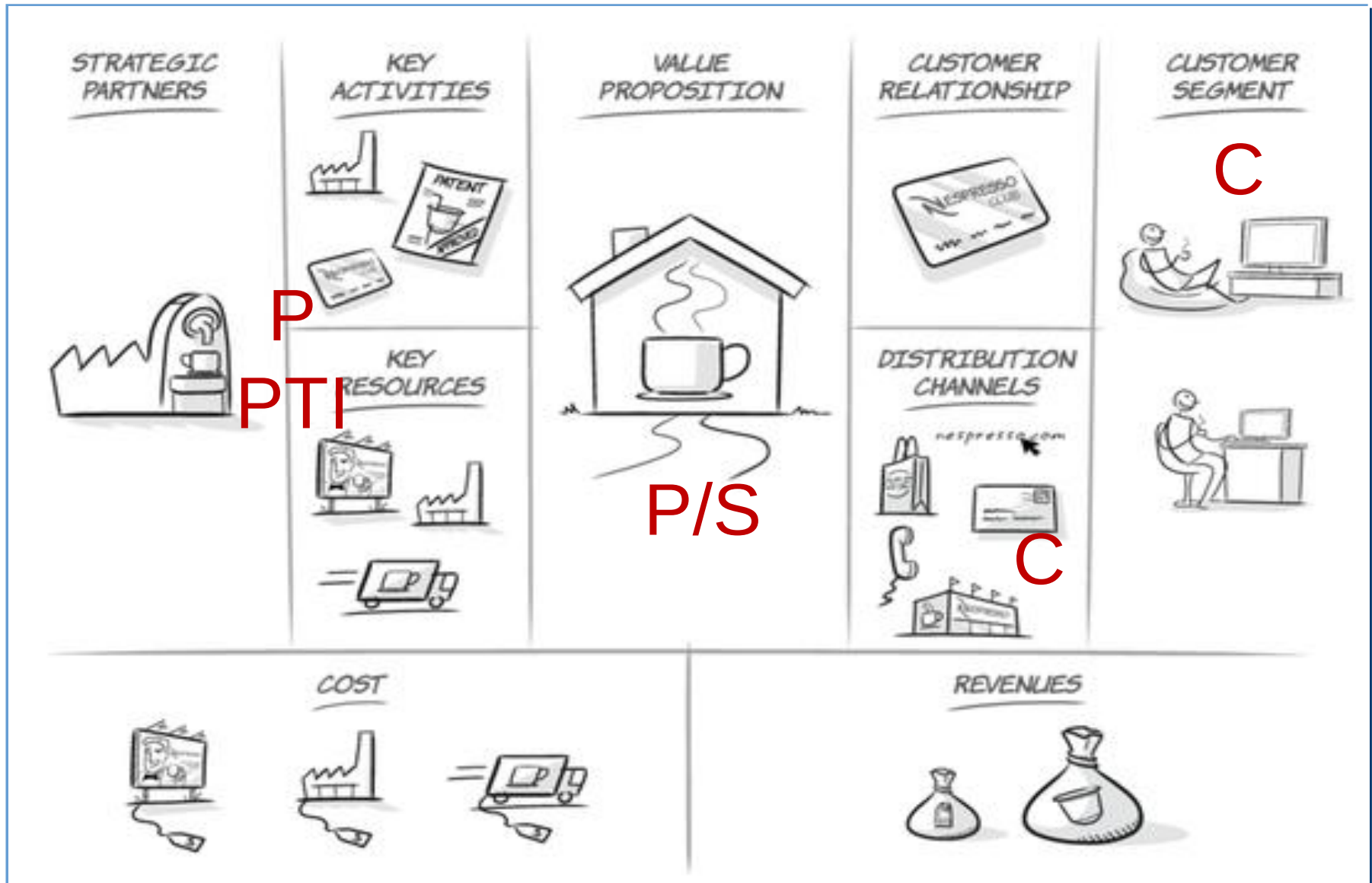


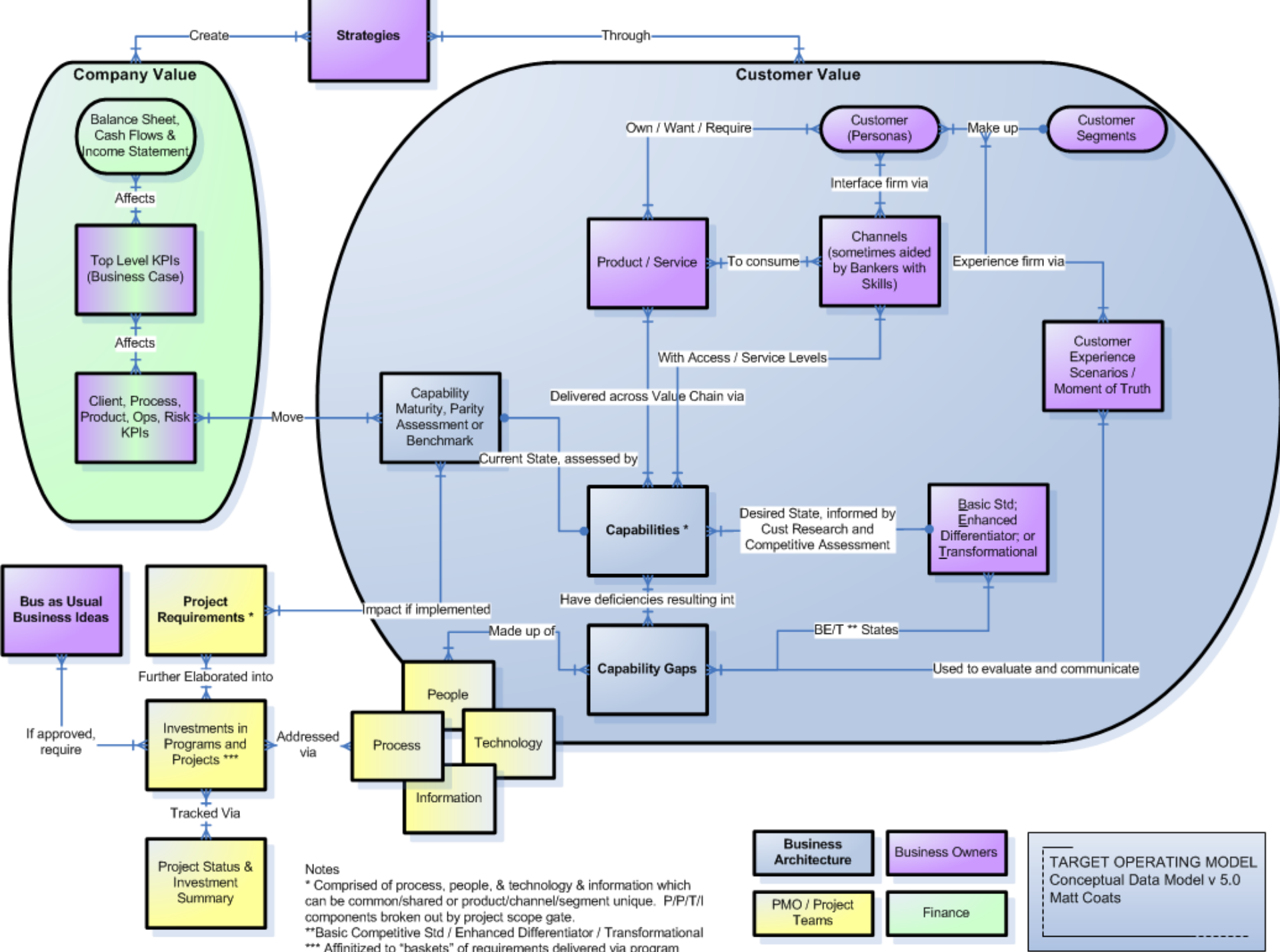


- ❑ Where should I focus scarce process improvement resources to add the greatest value? Both from internal groups and external consulting practices?
- ❑ How can I leverage data pulled from other business architecture layers to better prioritize process improvement work?
- ❑ When should I embark on incremental process improvement vs. process consolidation / reengineering or in/outsourcing?
- ❑ How can I use process patterns manage change by “pivoting” my portfolio on process and the people behind them?
- ❑ How build a trusted (one that is collectively exhaustive) repository of knowledge of my business operating model to support employee training, operational risk mgmt and audit relationships?

Canvas = Context

http://en.wikipedia.org/wiki/Business_Model_Canvas

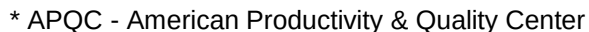




A Capability represents WHAT we do and serves as a common process classification framework. A Process is one element of HOW we deliver value (along with people, technology and information).

- 2. Business Contextual Dimensions** allow us to transition from Capabilities to Physical Processes. The three key business contextual dimensions are **Customer, Product, and Channel**.

- *Level 3 Process/ Activity (End to End – Voice of Customer Value Stream)*
- *Level 4 Activity / Task / Step (Standard Work, commonality opportunity)*
- *Level 5 Task / Step / Data (Procedures*



Business Capability =	Defines <u>WHAT</u> a business does and the ability or capacity that a business must possess or exchange to achieve a specific purpose or outcome, <i>and is enabled by people, process, technology and information</i>. Capabilities can be used to identify gaps between the current state and target state as well as overlapping capabilities (e.g., product silos). Business Capabilities are defined in business terms and are categorized as either Primary (Value Stream) capabilities that are core to what the firm does to deliver a product or service to an external customer, or Secondary (Foundational Support) capabilities for what the firm must do as internal functions. http://en.wikipedia.org/wiki/Capability_Management_in_Business
Business Process = Physical Processes	Defines <u>HOW</u> a business executes a set of coordinated tasks and activities as a series of measurable steps designed to either produce a product or service for a customer, or to effectively manage the internal activities of a business. Business Processes are categorized as either Primary (Value Stream) or Secondary (Foundational Support). Primary processes are core to delivering a product or service to an external customer. Secondary processes perform the organizations internal management or support activities. Value Stream processes differ depending on the combination of the customer type, the product/service being consumed and the channel through which it is supported. http://en.wikipedia.org/wiki/Business_process

TIAA-CREF Linkage Points between Business Architecture Model and Physical Processes Inventory

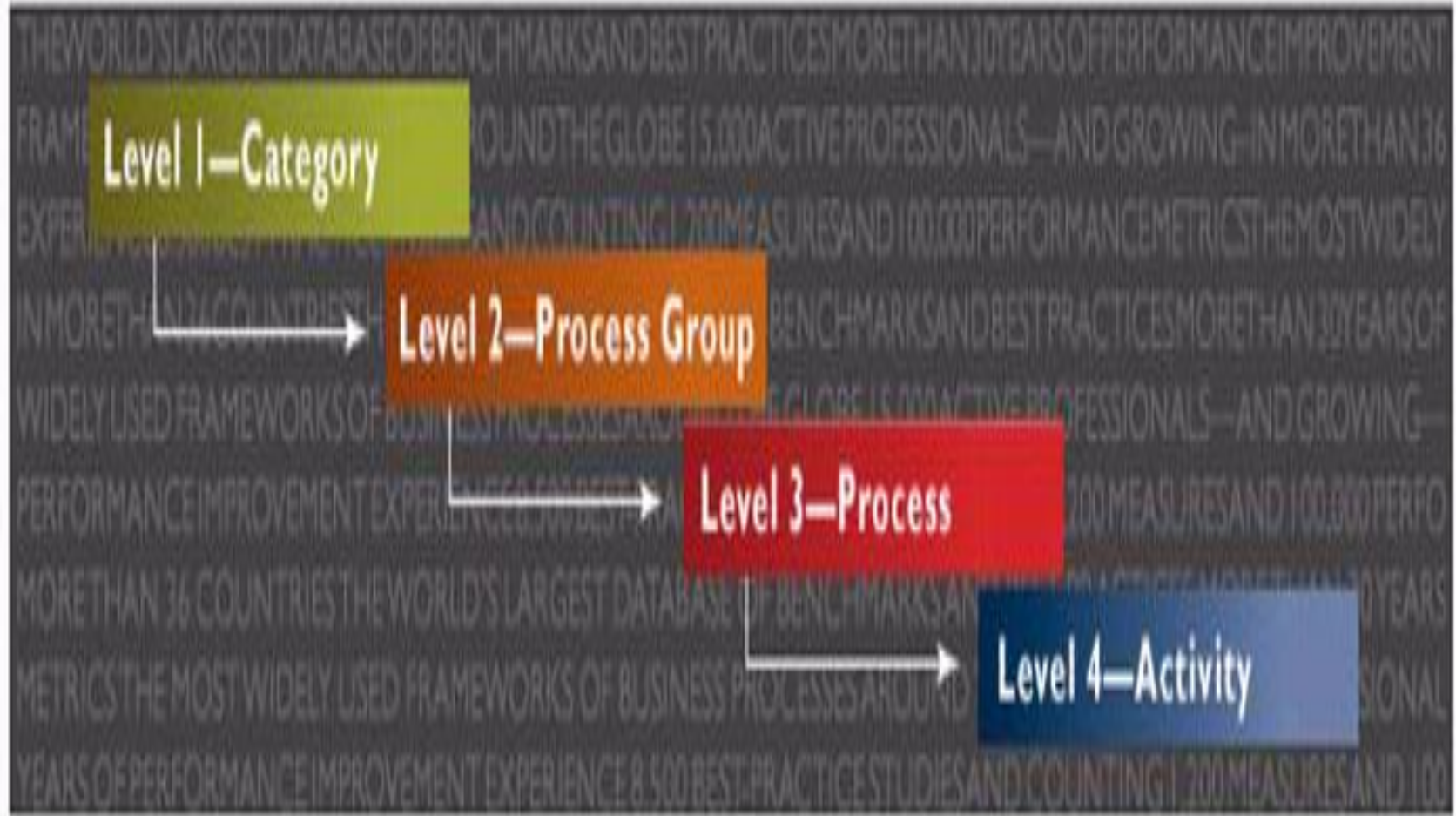


- Decision 1: Organize Processes and Projects using the following tags for process Categories and Groups (APQC Levels 1 & 2)
 - Mandatory to tag using Value Stream Level 1 Capability with applicable contextual dimensions; Optional to tag using Value Stream Level 2 Capabilities
 - Mandatory to tag to Foundational Support capability Level 2 Capability ; Optional contextual dimensions on these back office support areas.
- Decision 2: Follow the APQC taxonomy to further classify physical processes:
 - L3 – Value Stream Maps / Voice of the Customer Process Flows
 - L4 – Activity Models / Task
 - L5 - Task/Step Procedures & Standard Work
- Decisions 3-5: Use same process pattern to tag technology, projects risks and controls.

Decision Point 1: Adopt APQC* Taxonomy to organize process and use the Business Capability Model to Serve as Layers 1 and 2 (Process Categories and Groups)

What – Logical
Processes

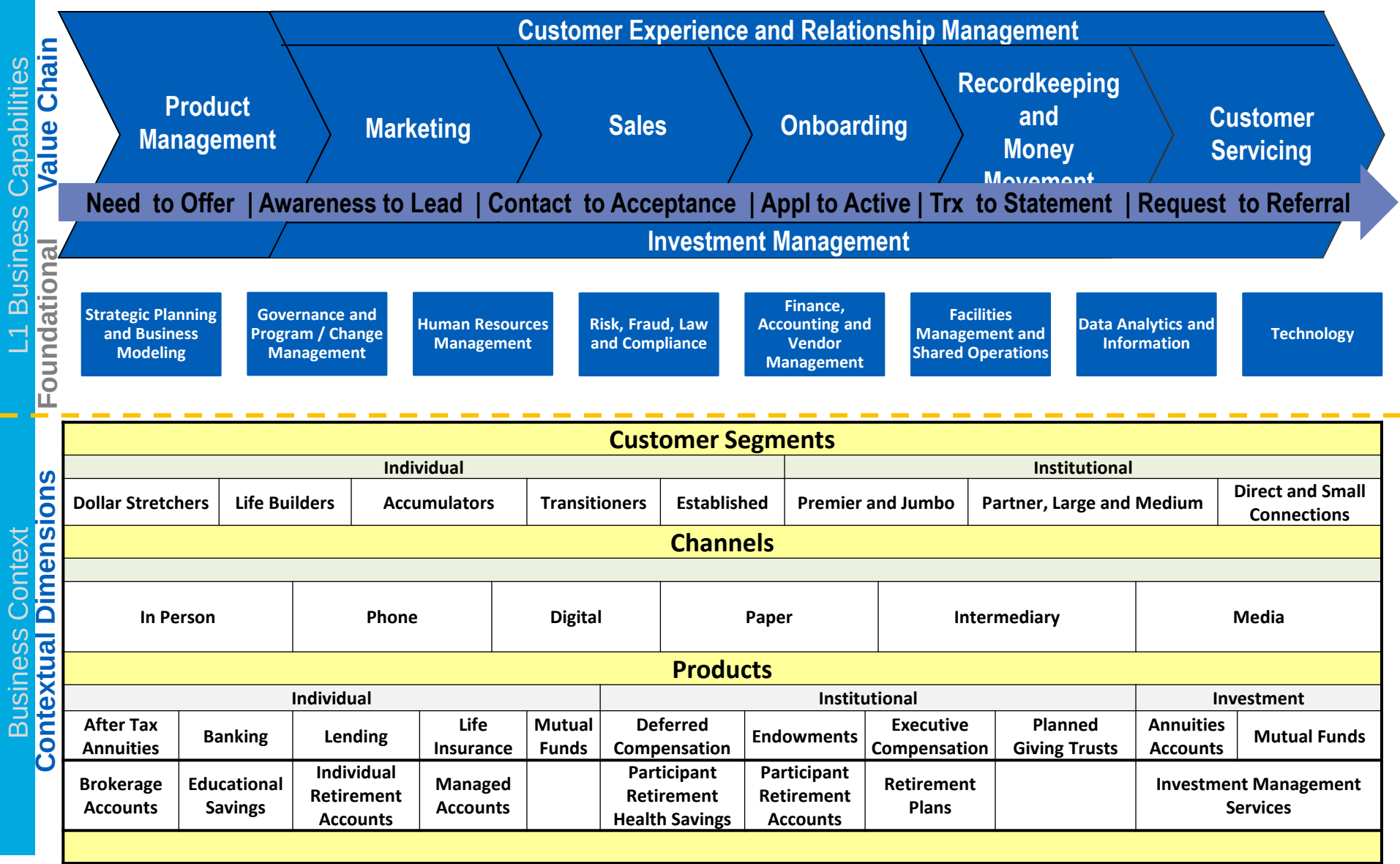
How –Physical Process
with Business Context



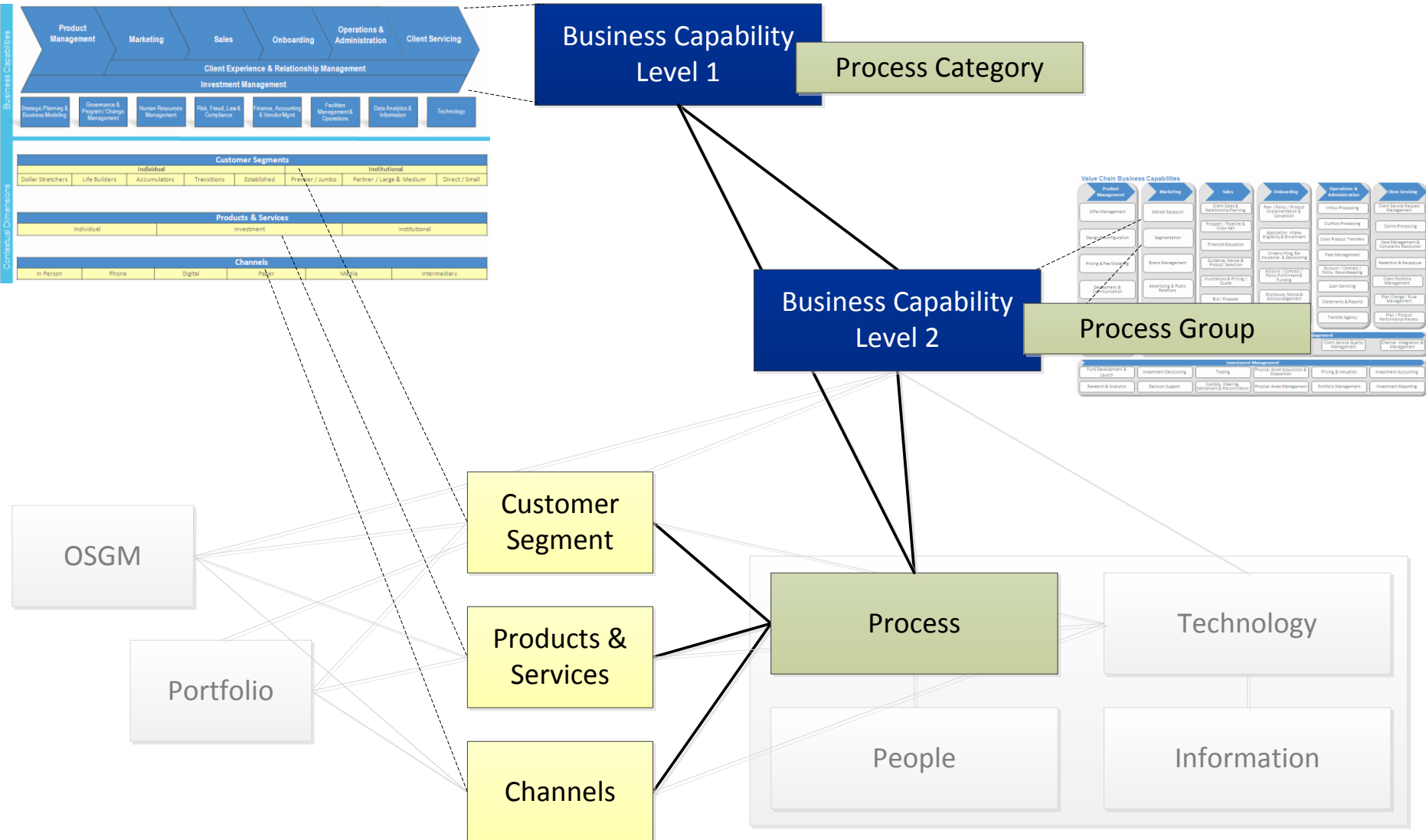
Litmus Test: At Level 3 process start and stop points must be defined in the voice of the customer and classified in context of the applicable customer, product and channel dimensions.
Processes must be “real.”

Business Capability Model

Capability and Contextual Models



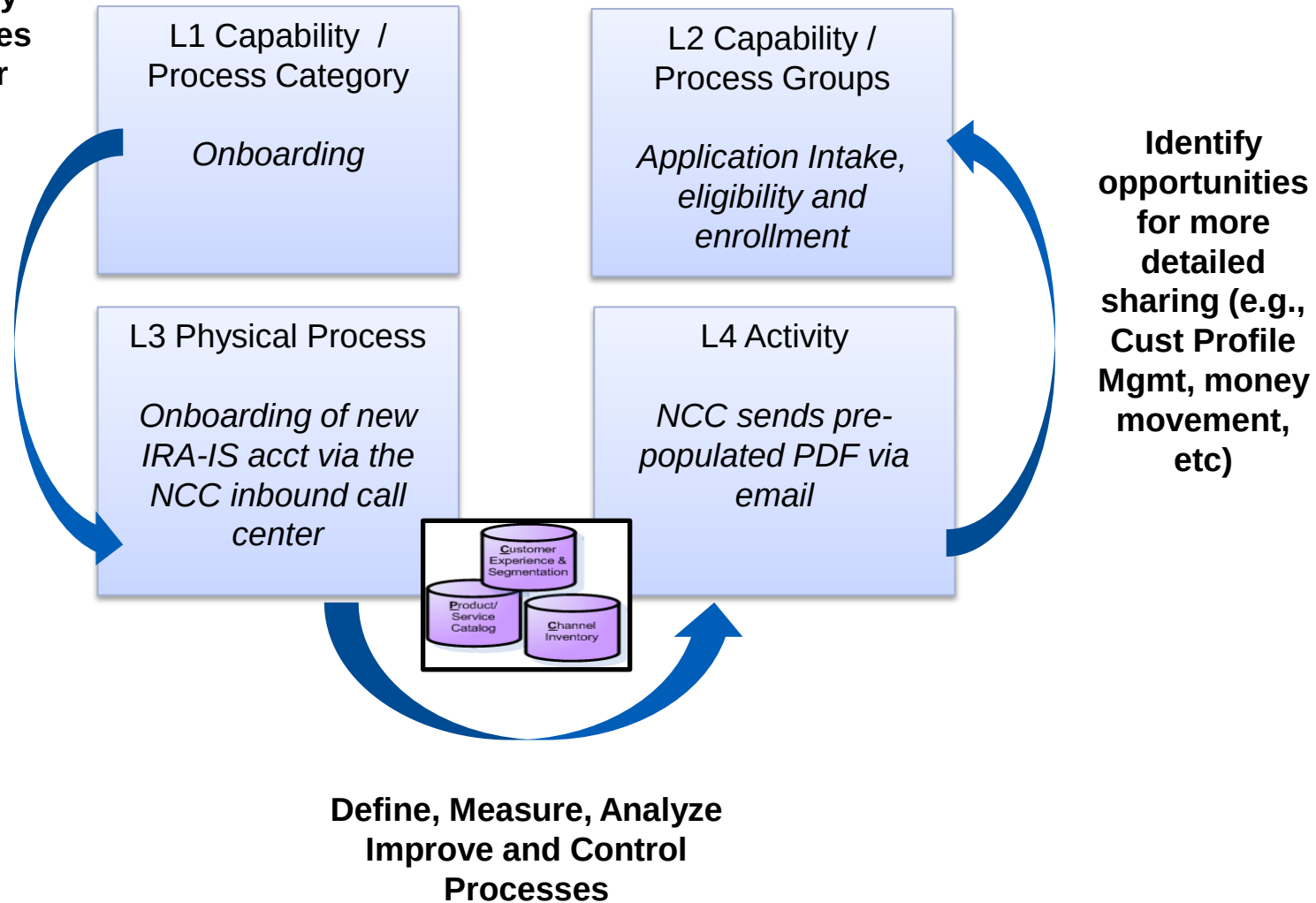
Business Architecture and Business Process Integration



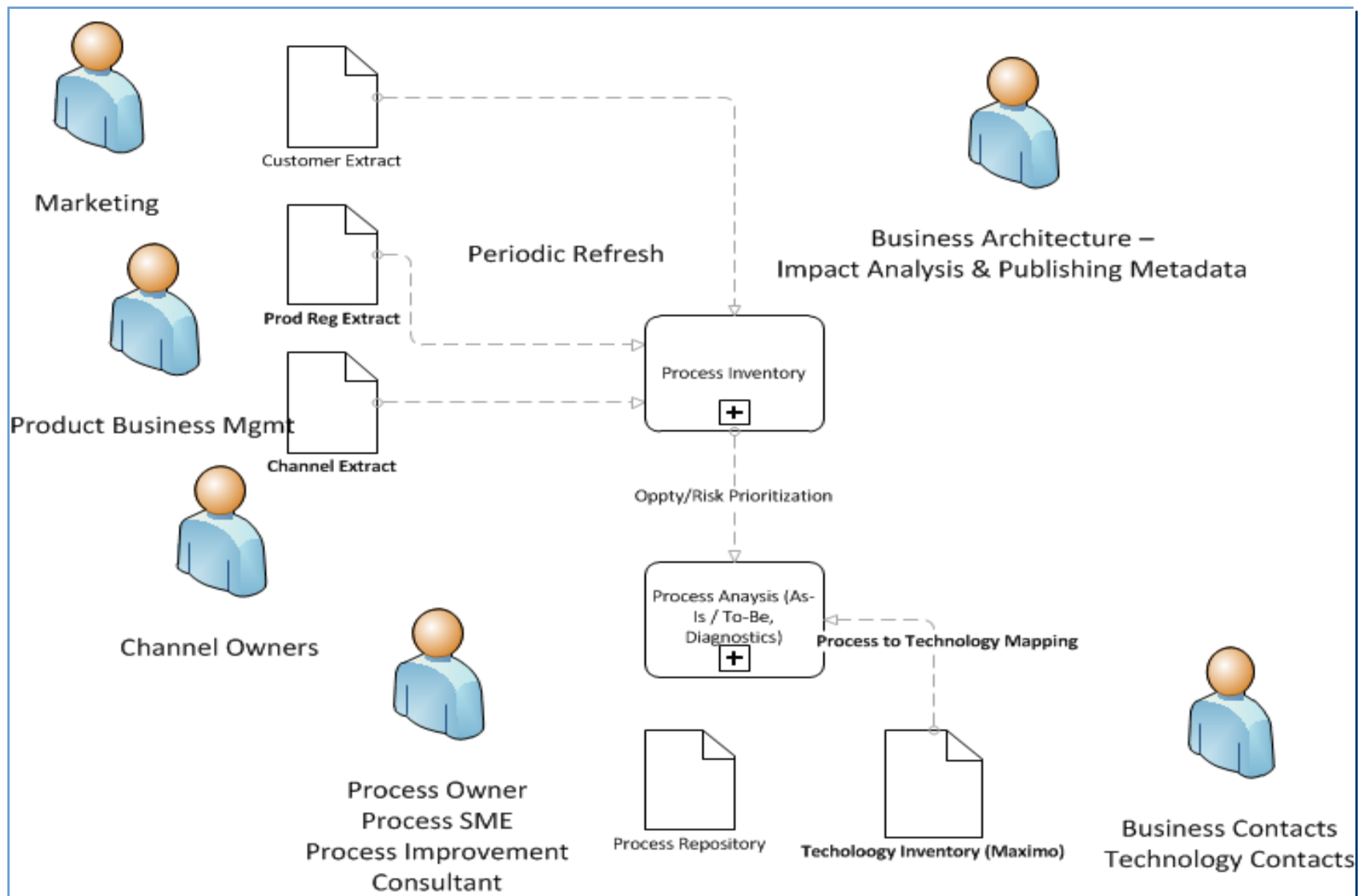
Process Linkage Example

How –Physical Process What –Logical Processes

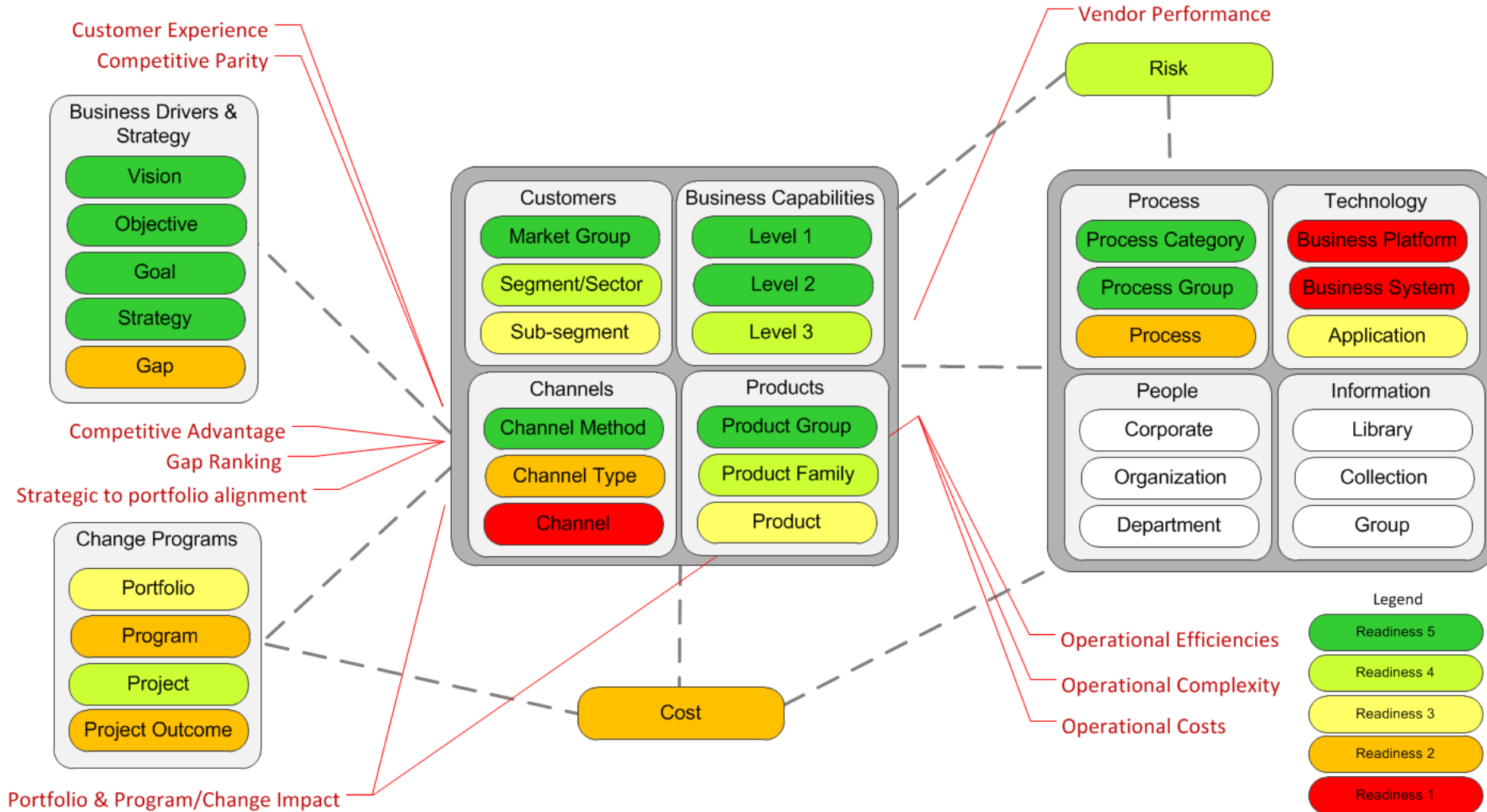
1. Set risk/oppty based priorities
2. Structure for repository
3. Identify duplicative processes



Maintaining the model requires, cooperation, governance & funding. Don't over extend by modeling too deep or wide



Transparency of Model Data Readiness



Summary Key Learning

- ✓ Business Architecture is but one part of the Change Capability. Strive for complementary role clarity through collaborative engagements.
- ✓ Use business architecture model to complement and reinforce process models as reflected in a process inventory and repository.
- ✓ A good model that is widely communicated and used is better than a perfect model that sits on the shelf. Feedback loop is critical.
- ✓ Establish common language to define what is a process vs. a capability. Leverage third party standards and definitions (APQC, Wikipedia) to drive consensus and adoption.
- ✓ #1 Point. Leverage the power of the network effect. Use common language and model within all the *layers* creates added value front to back. Once change partners see the value, they will be much more willing to use the model and help maintain it

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